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Primary Auction Note – September 2021

In a bid to raise **KES 75.0 Billion,** The Central Bank of Kenya issued a new infrastructure bond **IFB1/2021/21,** with an effective tenor of **15.5 years.** The coupon rate for the bond will be **market determined**.

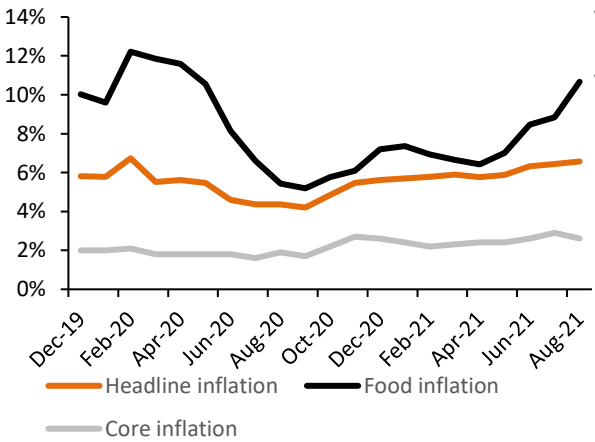
Elevated money market liquidity: In FY2021/22, the government's appetite for debt remains elevated due to its high expenditure while revenue collections are expected to fall below target. We expect a high subscription on this issue mainly driven by the tax-free nature of the bond and the prevailing high liquidity in the market. In the current auction, the CBK is likely to reject aggressive bids owing to the expected high subscription rate.

We advise investors to bid within the range of 12.65% to **12.85%** for the **IFB1/2021/21**

Secondary Bond Market:

In August, the secondary market activity decreased with the turnover decreasing by **9.11%** to **KES 83.06Bn ($762.02Mn)** from **KES 91.38Bn ($841.36Mn)** witnessed in July.

July Inflation:



In August, Headline inflation increased to **6.57%** from **6.55%** in July. The CPI increased by **0.22%** to **115.71** in August from **115.34** in July.

Meanwhile, food and beverage index increased by **0.46%** month-on month due to the increase in prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

September 6th , 2021

RECOMMENDATIONS:

IFB1/2021/21

Bid 12.65% to 12.85%

Period of Sale: 26/08/2021 to 07/09/2021

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI: (2019=100): 115.71

August Inflation: 6.57%

Interbank rate (03rd Sept 2021): %

C.B.R (July 2021): 7.00%

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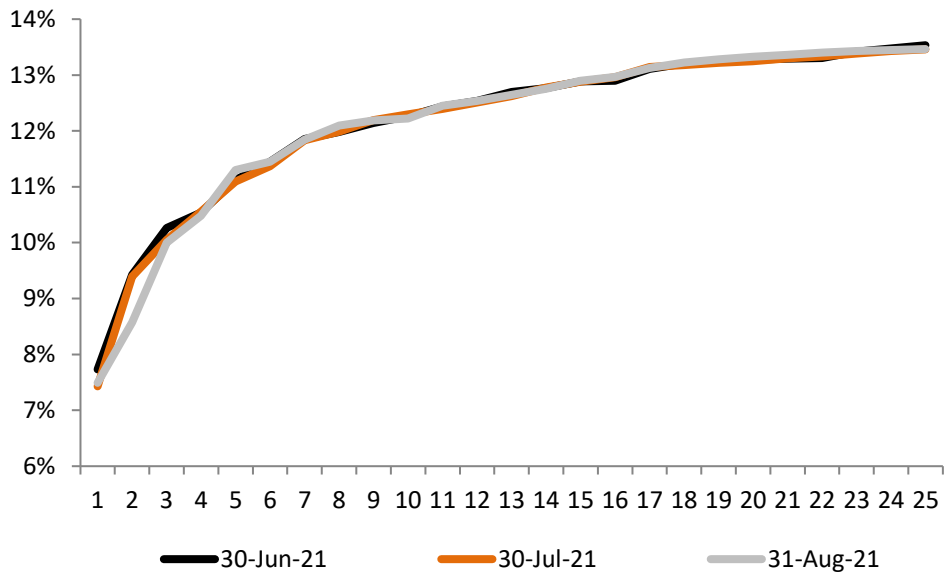
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Interbank

Money market remained relatively liquid during the month of August. The interbank rate increased from **3.32%** as of 30th July to **3.36%** as of 31st August.

In July, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth, and inflation remained below its upper target of 7.5%. The committee is set to meet again in September to determine the direction of the benchmark rate.

NSE Yield Curve



During the month, the yield curve remained relatively unchanged. We expect the yield curve to remain relatively unchanged with a downward bias on the short end of the curve.

Currency:

The Kenya Shilling (KES) has continued to come under pressure in August by losing **1.16%** against the greenback. On the 31st of August, the KES closed at a value of **KES 109.87/$** versus the **KES 108.61/$** witnessed at the end of July. The shilling is likely to remain under pressure mainly due to an increase in the import bill from rising oil prices and reduced export earnings.

CBK's usable foreign exchange reserve decreased to **USD 8,986 million** in August from **USD 9,341 million** at the end of July, representing a decrease to **5.49 months** of import cover from **5.71 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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